Benefits of the Phased Manufacturing Programme

1. Domestic value addition in the manufacturing of feature phones will go up from about 15 per cent to 37 per cent.
2. Domestic value addition in the manufacturing of smartphones will go up from about 10 per cent to 26 per cent.
3. Around 50 new mobile handset manufacturing units and 30 mobile components and accessory manufacturing units were started during the last two years, providing direct employment to over 100,000 people.
4. Rise in indirect employment by creating work opportunities for an estimated 200,000 people.

—Source: MeitY

Mobile Component Localisation: Global scenario

China: Almost 70 per cent
South Korea and Taiwan: Over 50 per cent
Vietnam: Around 30 per cent
Brazil: Below 20 per cent

"The mobile phone segment itself has the potential to drive electronics manufacturing to the tune of over $250 billion"

—Ajay Kumar, additional secretary, MeitY, Government of India

other incentives on components and accessories used for these devices.

Value addition

Huge domestic consumption and policy reforms, such as effective duties on key components along with attractive incentive structures, will drive domestic value addition through component sourcing as well as create a demand for electronics manufacturing services in India. The IIM-B and Counterpoint joint study estimates that more than $15 billion worth of components will be sourced locally over a period of five years through 2020. This will not only lead to significant savings in foreign exchange and creation of over a million direct and indirect jobs but also boost the entire ESDM ecosystem.

However, manufacturing in India is still restricted to manual semi-knocked-down (SKD) level assembly. In 2016, true local value addition in manufacturing and sourcing components was less than 6 per cent of the total $11 billion worth of components used in making around 267 million phones. This figure is far below that of other countries. To transform into a global manufacturing hub, India needs to move to the next level of manufacturing (beyond assembly) in a phased manner.

In the next five years, local sourcing of level-A components and sub-components, as well as localisation of assembly/manufacturing services, will result in greater value addition—more than 30 per cent by 2020, with a potential to grow to as much as 50 per cent thereafter (Fig. 2). Greater investments in industrial design, PCB design and SMT line assembly would help drive this growth, though many of the major silicon components will continue to be sourced from overseas. On the other hand, complete localisation of the major sub-components of chargers, batteries and cameras can be possible soon.

From a technology perspective, true value addition will be defined by emerging trends such as:

1. Advanced devices enabled with 5G, Internet of Things (IoT) and augmented reality
2. Automated manufacturing processes utilising real-time analytics and robotics
3. Digital product design and advanced production using innovative casing materials through 3D printing

These trends have the potential to take the Indian market to the next level.

Policy boost in phases

The PMP will be rolled out in a phased manner, aided by appropriate fiscal and financial incentives to promote indigenous manufacture of phones and various sub-assemblies. This, in turn, is likely to provide an impetus to related industries including the sub-assembly and components industry.

The phased programme has already been in place for the last two years. The Union Budget 2015-16 introduced a differential excise duty for domestic mobile manufactur-

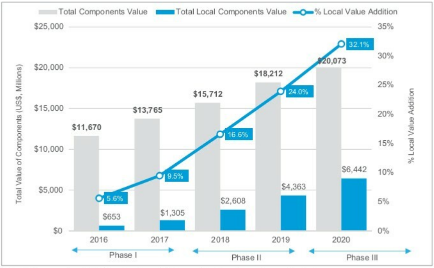

Fig. 2: Forecast on total local value addition under the phased manufacturing programme (Source: IIM-B)